Minutes of the
General Government Committee Meeting
2021 Capital & Operating Budget
Held Electronically at 1:00 p.m. on February 8, 2021

Alternative formats available upon request by contacting:
accessibility@ajax.ca or 905-619-2529 ext. 3347

Present:	Chair - Councillor	A. Khan
	Regional Councillors	M. Crawford
		S. Lee
		J. Dies
	Councillors	R. Tyler Morin
		L. Bower
	Mayor	S. Collier

1. Call to Order

Chair Khan called the meeting to order at 1:00 p.m.

2. Disclosure of Pecuniary Interest

There were no disclosures of pecuniary interests.

3. Budget Chair's Opening Comments

Councillor Khan, Budget Chair, provided opening comments, thanked staff for their hard work on the preparation of the 2021 Capital & Operating Budget, and reviewed highlights of the proposed budget.

4. Finance Department Budget Presentation

Dianne Valentim, Director of Finance / Treasurer, delivered a presentation on the 2021 Capital & Operating Budget.

D. Valentim provided an overview of the Town's operating budget including process and timelines for development of the budget. D. Valentim discussed the budget framework, an overview of the budget including two business cases, the Library Grant, revenues by source, operating budget development, operating budget impacts, Safe Restart Funding, operating budget outlook, and tax calculation.

D. Valentim provided an overview of the Town's capital budget and 2022-2025 long range capital forecast and discussed capital budget funding, the Financial Sustainability Plan, and capital reserve allocations. D. Valentim reviewed the 2021 Draft Capital Budget, including capital project funding, budgeted expenditures and pressures, Federal Gas Tax funding details, and concluded the presentation with a review of multi-year/pre-budget approval projects.

5. Opening Public Comments & Questions

Chair Khan invited comments and questions from the public on the proposed 2021 Capital & Operating Budget.

There were no questions or comments from the public.

6. Review of Budget

Chair Khan led the Committee through a section-by-section review of the proposed 2021 Operating Budget. Committee Members asked questions on the following sections and topics:

6.1 **2021 Operating Budget**

Section 3: Operating Budget

Members provided questions and comments on the following sections within the proposed 2021 Operating Budget:

- **All Departments – Summary (p. 31):** Committee Members asked questions regarding allocations to financial charges and fees and miscellaneous fees. D. Valentim identified fees within these line items.

- **Mayor & Council (p. 33, 36)**: Committee Members asked questions regarding the Anti-Black Racism Nominating Committee allocation, and communications and technology. D. Valentim noted that the Anti-Black Racism Nominating Committee project was initiated by Mayor and Council, and therefore allocated accordingly. Rachel Wraith, Manager of Corporate Communications, discussed industry-standard social media platforms and photo inventory software, and reviewed costs associated with each.

- **Office of the CAO (p. 37)**: Committee Members asked questions regarding costs associated with the Mid-term Strategic Plan. Shane Baker, Chief Administrative Officer, advised that the Mid-term Strategic Plan would be reviewed internally, without retaining consultants.

  Amendment

  Moved by: S. Lee

  That the $5,000 allocated for a mid-term strategic plan update be removed.

  CARRIED

- **Office of the CAO (p. 37-38)**: Committee Members asked questions regarding education and training, materials and supplies, administrative expenses and increased costs for Ontario Big City Mayor's support. S. Baker discussed education and training requirements. D. Valentim responded to questions from Committee Members. Mayor Collier discussed membership benefits for Big City Mayors**.**

- **Finance (p. 42)**: Committee Members asked questions regarding contracted services, consulting and professional services, and the CIP Grant. D. Valentim provided examples of contracted services and consulting and professional services required by the Finance Department. D. Valentim provided an overview of the Town's requirements under the CIP Program including incremental tax payable under the Medallion Development Agreement.

- **Non-Departmental (p. 44)**: Committee Members asked questions regarding increased reserve allocations from growth in tax assessment. D. Valentim reviewed increased allocations to the election reserve and confirmed the amount allocated to the reserve from growth in tax assessment, noting that the budget figure is lower than the assessment. Mayor Collier discussed requirements under the Financial Sustainability Plan including an automatic incremental increase to the reserve fund allocation based on assessment growth. Committee Members discussed pressures on the public due to the pandemic, depleting capital reserves, revenue loss from the Ajax Casino, and reserve allocations from other sources.

  Amendment:

  Moved by: S. Collier

  That the annual increase in reserve allocation of $102,300 be removed.

  CARRIED

- **Legislative & Information Services (p. 48-51)**: Committee Members asked questions regarding telephone upgrades, education and training, telephone fail

over testing, and disaster recovery. Nicole Cooper, Director of Legislative & Information Services/Clerk, provided an update on upgrades to the phone system, service levels, training for staff, phone system administration and cyber security. Chris Walker, Manager of Technology & Innovation, discussed the telephone fail over testing platform and the disaster recovery portal.

Committee Members asked further questions regarding parking enforcement revenues, IT Security Audit fees, Integrity Commissioner fees, and education and training. N. Cooper and Alexander Harras, Manager of Legislative Services/Deputy Clerk, responded to questions from the Committee. Committee Members asked questions about cost sharing opportunities for training and education. N. Cooper and C. Walker noted that cost savings are realized by collaborating with Durham Region and through group training. Committee Members asked questions about the need for vehicle equipment and maintenance within the Legislative Services Department. N. Cooper and D. Valentim noted that vehicle equipment and maintenance is utilized by By-law Services.

- **Non-Departmental (p. 45)**: Committee Members asked questions regarding Municipal Grants and Subsidies, pre-slots revenue contributions, and discussed alternative opportunities to support the community. D. Valentim reviewed grant funding and past contributions.

  Amendment

  Moved by: S. Collier

  That the Hospital and Durham Community Foundation grants currently funded from slots revenues be removed and reconsidered in 2022; and

  That a letter be sent to the provincial government in regards to the Town's belief that the government should be doing more to fund healthcare in hospitals.

  Amendment to Amendment:

  Moved by: L. Bower

  That the amendment proposed by Mayor Collier be amended further to read as follows:

  That the Hospital grant **be reduced to $25,000,** and Durham Community Foundation grant currently funded from slots revenues be removed and **both grants be** reconsidered in 2022; and

  That a letter be sent to the provincial government in regards to the Town's belief that the government should be doing more to fund healthcare in hospitals.

  CARRIED

  Amendment, As Amended:

  Moved by: S. Collier

  That the Hospital grant be reduced to $25,000, and Durham Community Foundation grant currently funded from slots revenues be removed and both grants be reconsidered in 2022; and

  That a letter be sent to the provincial government in regards to the Town's belief that the government should be doing more to fund healthcare in hospitals.

  CARRIED

- **Fire & Emergency Services (p. 53-54)**: Committee Members asked questions regarding upgrades to fire headquarters and MTO fees for the ARIS system including historical revenues. Dave Lang, Fire Chief, reviewed improvements, upgrades and efficiencies implemented at fire headquarters. D. Lang discussed the ARIS system and MTO fees. D. Valentim provided offsetting revenue figures.

- **Operations & Environmental Services – Administration (p. 60-62)**: Committee Members asked questions regarding education and training, contracted services, administrative expenses, vehicle equipment and maintenance, the increase to salaries and benefits, and new contracted rates for winter control standby. Tim

Field, Manager of Environmental Services, discussed education and training requirements and provided an overview of contracted services and administrative expenses. T. Field discussed fleet acquisitions, existing inventory, weight carry capacity and intended use of vehicles. D. Valentim noted that the salaries and benefits is a budget reallocation which nets out at zero. Dave Meredith, Acting Director of Operations & Environmental Services, discussed increased services levels for snow clearing.

- **Operations & Environmental Services – Operations (p.63)** Committee Members inquired about costs associated with the storm sewer industrial pump rental. D. Meredith responded to questions from the Committee.

- **Operations & Environmental Services – Building Maintenance (p. 67)**. Committee Members asked questions regarding increased security costs for parking at the waterfront. D. Meredith noted additional security measures are being implemented as part of the new waterfront strategy.

The Committee recessed at 3:35 p.m.

The Committee resumed at 3:45 p.m.

- **Recreation, Culture & Community Development – Administration (p. 83-84)**: Committee Members asked questions regarding contracted services with respect to the IMPACT Ajax grant funding, emergency funding intakes for community organizations and the current IMPACT Ajax budget. Chris Vida, Acting Director of Recreation, Culture & Community Development and Robert Gruber, Manager of Community & Cultural Development, provided an overview of 2020 IMPACT Ajax funding and relief funding provided as a result of the pandemic.

Councillor Khan vacated the Chair. Deputy Mayor Dies assumed the Chair.

Amendment:

Moved by: S. Collier

That the IMPACT Ajax grant funding of $106,600 be removed from the 2021 Operating Budget and be reconsidered in the 2022 Operating Budget.

CARRIED

Councillor Khan resumed the Chair.

- **Recreation, Culture & Community Development – Administration (p. 83)**: Committee Members asked questions regarding education and training. C. Vida provided an overview of education and training requirements.

- **Recreation, Culture & Community Development – Facilities (p. 85, 88)**: Committee Members asked questions regarding one-time purchases under $10,000. Committee Members asked questions regarding loss of revenue due to facility closures during the pandemic. C. Vida and D. Valentim discussed one-time purchases, savings due to staff layoffs, and loss of revenues due to facility closures.

- **Recreation Programs & Active Living (p. 90-93)**: Committee Members asked questions regarding recreation revenue reduction. D. Valentim discussed uses for COVID-19 relief funding.

Amendment:

Moved by: S. Collier

That the recreation revenue reduction of $239,300 be removed, and that the difference be made up from the $991,000 COVID-19 relief funding that has not yet been allocated.

CARRIED

- **Planning & Development Services (p. 98, 101)**. Committee Members asked questions regarding one time purchases under $10,000 (replacement bicycle counters) and municipal grants and subsidies. Geoff Romanowski, Director of

Planning & Development Services, reviewed bicycle counter locations and data collection uses.

Section 4: Business Cases

Information Technology Strategic Plan (ITSP) – Staff Requests and Action Items

Nicole Cooper, Director of Legislative & Information Services/Clerk, provided an overview of the ITSP Business Case. N. Cooper discussed the importance of technology, service improvements, and staffing requirements to support the Town's IT initiatives. N. Cooper noted that the Town will realize efficiencies and cost savings by continuing to invest in technology. N. Cooper noted the local portion on the tax levy will be 0.4% should the Business Case be approved.

Committee Members sought clarification regarding the ITSP Business Case and if it is included in the budget. D. Valentim confirmed that the ITSP Business Case is in included in the budget.

Committee Members asked questions regarding the Research / Analyst Membership subscription, cost sharing opportunities, and the number of technology evaluations the Town conducts annually. C. Walker discussed benefits of the subscription, citing access to experts and efficiencies. N. Cooper reviewed technology project requests to date.

New ASE Program and Contract Staff Request

Committee Members asked questions regarding the number of cameras expected to be in operation, staffing requirements, opportunities for the Region to administer the Town's program, costs associated with the program and expected revenues. John Grieve, Supervisor of Transportation, provided an update on the ASE Program, discussed staffing requirements, and noted that the Region is not interested in administering the Town's program. G. Romanowski stressed the importance of a dedicated staff person to support the ASE program and reviewed costs associated with the program. J. Grieve noted that this program will not generate revenue but rather is a road safety initiative.

Amendment:

Moved by: M. Crawford

That the Automated Speed Enforcement Business Case be removed, and the Automated Speed Enforcement program be reconsidered in the 2022 Operating Budget.

CARRIED

Section 5: Ajax Public Library

Sarah Vaisler, Chief Library and Executive Officer, reviewed the 2021 Ajax Public Library operating budget citing an increase to the library budget, efficiencies, and decreased revenues due to fine free modelling. Committee Members asked questions regarding the library's surplus, allocations to the Stabilization Reserve and Stormwater Maintenance Reserve, and impacts on the library if surplus is returned to the Town. D. Valentim provided figures allocated to the Stormwater Maintenance Reserve. S. Vaisler and D. Valentim discussed impacts on the library surplus.

Amendment:

Operating Budget: Ajax Public Library

Moved by: S. Collier

That the net operating budget increase of $189,000 be reduced to $139,000.

MOTION FAILED

Amendment:

Operating Budget: Ajax Public Library – Surplus

Moved by: S. Collier

That recommendation #9 of the Treasurer's report be amended to read as follows:

That $1,000,000 of the 2020 Library surplus be returned to the Town, of which $700,000 be directed to the Stabilization Reserve and $300,000 be directed to the Stormwater Maintenance Reserve (rather than $700,000 as in the recommendation); and

That if the Library Board does not approve the transfer as requested, then the Library Grant for 2021 be reduced by whatever amount that is not approved by the Library Board.

CARRIED

The Committee recessed at 6:15 p.m.

The Committee resumed at 7:00 p.m.

6.2 **2021 Capital Budget**

Chair Khan led the Committee through a section-by-section review of the proposed 2021 Capital Budget and 2022-2025 Long Range Capital Forecast. Questions and discussion focused primarily upon the following projects:

Project List

Studies and Other Initiatives

CA004: Customer Service Strategy 2021;
CA003: Resident Engagement and Satisfaction Survey

Committee members asked questions regarding the alignment of these projects suggesting that the Resident Engagement and Satisfaction Survey occur prior to the Customer Service Strategy in order to provide framework for the Strategy. S. Baker noted a pending update coming forward on the Strategic Plan and recommended that the Customer Service Strategy be delayed until 2022.

Amendment:

Moved by: L. Bower

That project CAO004 be moved from the 2021 Capital Budget to the year 2022 in the 2022-2025 Long Range Capital Forecast.

CARRIED

ETP020 Transportation Demand Management Study Update

Committee Members sought clarification on the necessary timing of the project this year. J. Grieve discussed timelines for reviews and provided an overview of what the plan entails.

EMV001 Signage Installation on Municipal Property

Committee Members discussed signage installation with respect to prohibiting smoking on municipal property. D. Meredith provided a rationale for the signage, noting challenges for convictions if signs are not installed.

Amendment:

Capital Budget: Studies & Initiatives

Moved by: S. Collier

That project ENV001 be removed from the 2021 Capital Budget.

CARRIED

Technology

IS012 Migration to Office 365 – Phase 2

Committee Members asked questions regarding costs and timelines for deployment of Office 365. C. Walker discussed costs associated with the migration and future subscription costs. C. Walker noted that this item will appear in the operating budget once migration is complete.

BMT033 – Council Chambers, Aiding Systems and Lighting Upgrades

Committee Members asked if Council Chambers will be utilized this year and wondered if the upgrades could be postponed. A. Harras discussed requirements under the ICIP grant to utilize the funds in 2021. A. Harras further noted that upgrades to Council Chambers will facilitate public participation when in person meetings resume.

ITS002 Hardware Replacement 2021

Committee Members asked for clarification on what Hardware Replacement includes and asked if hardware is allocated based on established profiles. C. Walker responded to questions from Members of Committee.

Town Buildings

BMT042 Cricket Clubhouse, Pitch and Parking Lot Improvements

Committee members sought clarification regarding funding for this project. Kassandra Cruciano, Grants and Strategic Initiatives Coordinator, discussed grant funding and grant funding approval timelines. D. Valentim discussed next steps if grant funding is denied.

BMT006 Facility Condition Audits

Committee Members asked questions about the timing of the audit. D. Meredith, discussed requirements under the Town's Asset Management Plan and noted that the audit determines the condition of assets within Town facilities.

BMT018 Pool Filtration System Pumps

Committee Members asked questions about the age of the equipment. D. Meredith advised that the equipment is at the end of its life cycle.

Parking Lots

ENG042 Westglen Parkette

Committee members sought clarification regarding project timelines. G. Romanowski provided an overview of the project, timeline for development completion and recommended project completion in its entirety.

Parks & Open Spaces

ENG050 ACC Basketball Court Retrofit

Committee Members asked for assurance that work will not be initiated until approval for grant funding is received. D. Valentim noted that the project is grant dependent and discussed next steps if the grant is denied.

Vehicles & Equipment

FLT011 Fleet - Repl. FES Pumper P49 2021

Committee Members asked questions regarding consultant costs associated with this purchase. D. Lang discussed the complexity of purchasing specialized vehicles.

Amendment:

Moved by: S. Collier

That capital project FLT011 be amended by removing funding for a consultant and reducing the project expenditure by $30,000.

CARRIED

FLT022 Fleet - Repl. OPS 31023 Front Runner 2021;
FLT023 Fleet - Repl. OPS 31024 Front Runner 2021;
FLT024 Fleet - Repl. OPS 34008 Sidewalk Tractor 2021;
FLT025 Fleet - Repl. OPS 34009 Sidewalk Tractor 2021; and
FLT026 Fleet - Repl. OPS 34010 Sidewalk Tractor 2021

Committee Members asked questions regarding hours per year and annual maintenance costs with respect to fleet vehicles, vehicle assessments, and life cycles. D. Meredith discussed fleet assessment, life cycles and fleet replacement.

Road Network

ENG006 Accessible Pedestrian Signals – 2021

Committee Members sought clarification on the scope of the project. D. Meredith provided an overview of the project, noting legislative requirements under the A.O.D.A.

Committee Members inquired about traffic calming measures in 2021. G. Romanowski and John Grieve, Supervisor of Transportation reviewed the 2021 plan for traffic calming measures and advised that open houses have been scheduled.

ENG098 Retaining Wall Replacement

Committee Members inquired about the location of the retaining wall replacement project. D. Meredith confirmed that the retaining wall and entry feature are on municipal property.

ENG036 Rossland Road Widening - Church to Westney – Construction

Committee Members asked about the cost increase to the project. D. Meredith provided rationale for the increase. D. Valentim noted that the project is cash flowed over two (2) years.

Storm Water Network

ETP004 Waterfront and Shoreline Gap Analysis

Committee Members asked questions about the timeline for study completion and costs associated with the Asset Management Plan. G. Romanowski and D. Valentim responded to questions from Committee members.

Summary of New Capital Projects by Driver

ENG026 Paradise Park Volleyball and Playground

Committee Members sought clarification from staff regarding the project and its inclusion in the 2021 budget when historically the project was denied. D. Meredith discussed the project, staff report and long range forecast.

Amendment:

Moved by: S. Collier

That project ENG026 be removed from the 2022-2025 Long Range Capital Forecast.

CARRIED

Financing Summary

Grants

Committee Members asked for an update on additional grant funding approvals. K. Cruciano responded to Committee Members.

7. Closing Public Comments & Questions

Chair Khan invited any final comments and questions from members of the public.

Chris Baker, Ajax resident, asked about the exclusion of fleet ‘future years’ entries, if FLT027 is essential, contributing factors to less assessment growth, if the levy charge on the capital budget is captured in reserve allocations on the operating side, how services such as residential tree trimming and residential sidewalk repairs are justified, and cost reduction for the Town of Ajax. D. Valentim and D. Meredith responded to questions from Mr. Baker.

Lesly McConnell, Ajax resident, sought clarification on costs associated with the Medallion Development, terms of repayment and the incentive agreement. D. Valentim provided an overview of the project and costs associated with the project. Mayor Collier discussed the scope of the project and noted that the incentive agreement allowed the Town to secure future infrastructure to support redevelopment of the downtown core.

D. Valentim responded to e-mail correspondence received from Ajax residents regarding the 2021 Capital and Operating budgets.

8. 2021 Capital and Operating Budget Report

Final Recommendations, as Amended:

Moved by: S. Lee

1. That the 2021 Net Operating Budget in the amount of $75,565,500 be approved;

2. That the Information Technology Strategic Plan (ITSP) Business case in the amount of $291,100 be approved;

3. That the amount of $74,412,500 be set as the General tax levy for 2021;

4. That the following 2021 General Levy Funded Reserve Allocations be approved:

Reserve	$
Building Maintenance	801,100
Election	73,000
Post Build Out	71,400
Development	200,000
Strategic Initiatives	387,000
Roads Maintenance	1,628,200
General Infrastructure Maintenance	921,600
Vehicle and Equipment	1,657,900
Total Allocations	**5,740,200**

5. That the 2021 Capital Budget in the amount of $19,767,300 be approved;

6. That the 2022 – 2025 Long Range Capital Forecast be approved in principle;

7. That Council approve the deviation from the Financial Sustainability Plan Spending Cap for the Vehicle and Equipment Reserve by $90,900 in 2021; and

8. That $1,000,000 of the 2020 Library surplus be returned to the Town, of which $700,000 be directed to the Stabilization Reserve and $300,000 be directed to the Stormwater Maintenance Reserve; and

   That if the Library Board does not approve the transfer as requested, then the Library Grant for 2021 be reduced by whatever amount that is not approved by the Library Board.

CARRIED

Members of Council and Budget Chair Khan thanked staff for their hard work on presenting the 2021 Capital and Operating Budgets.

9. Adjournment (8:52 p.m.)

Moved by: M. Crawford

That the February 8, 2021 meeting of the General Government Committee Capital & Operating Budget Meeting be adjourned.

CARRIED

_____
Chair

_____
D-Clerk